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ROCKWOOL A/S (ROCK.B.DK)

Q1 2025 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Good morning to everyone and welcome to ROCKWOOL's Conference Call regarding the Result for the First Quarter of 2025. My name is Kim Junge Andersen. I'm the CFO of ROCKWOOL A/S. Today, I'm pleased to present CEO, Jes Munk Hansen. For the first part of this call, all participants will be in listen-only mode. As a reminder, this conference call is being recorded.

First, Jes will go through our presentation and give you an update on the results for the first quarter of 2025, after which we will be ready to answer all your questions. Before I hand over the word to Jes, I must ask you to notice slide number 2, which is a forward-looking statement. Please be aware that this presentation contains uncertainties.

Now, we can go to slide 3, which is – or slide – next slide which is number 3. Jes, I will now hand over the word to you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Thank you, Kim, and good morning. We had a solid start in ROCKWOOL, a solid start to the year in a difficult environment. And when we look at the Q1 highlights, revenue for the first quarter reached €959 million and that's an increase of 4% measured both in local and in reported figures compared to last year. 2% of this increase

comes from the acquisitions we made in October last year and the other 2% come from volume growth throughout the group where pricing had a neutral impact in Q1. In short, we are quite pleased with our growth performance in this otherwise subdued construction market. EBIT landed at €154 million, generating an EBIT margin of 16%.

Slide number 4, looking at revenue in the Insulation segment, we actually had a 5% revenue growth, which was primarily driven by our business in North America, and this was offset by a somewhat slowdown in East Europe, a particular slowdown in Russia. And here just to repeat, this is where the acquisitions accounted for 2% of the revenue growth, meaning here in this segment. In the Systems segment, Rockpanel and our Lapinus business, Lapinus business is our OEM business, grew, and our Rockfon business was stable. And then we saw a revenue decline in Grodan, our horticulture business, driven by a lower sales in the legal cannabis market in North America.

Slide number 5. And here we are looking at our regions. And then when I look at our Western European business, particularly our biggest market, Germany, actually delivered some growth, but the markets, in particular, Germany, seem to be waiting for what the German government is going to do now about the new investment programs that holds a lot of promise. We also had positive developments in countries like Switzerland, strong performance in countries like Spain and the UK. In another one of our main markets, France, we do experience price pressure, especially in our professional flat roof application segment. The United States continues to perform on a very high level with 15% growth. But like a few markets in Europe, you can notice a little bit of a wait and see mode where some of the customers, some of the markets' players are looking for more clarity around the macroeconomics, particularly the interest rates and mortgages, before placing orders on the projects already in the pipeline.

If you look at the slide 6 about profitability, they showed here EBITDA numbers are up in absolute terms from €216 million to €223 million. And our EBIT margin continue at a high level. As you see, 16% EBIT margin, mainly supported by stable pricing and stable input cost. And we of course are very pleased to see that.

When I look at the profitability by segments, we achieved a strong EBIT, 15.6% in the Insulation segment, which also somewhat benefited from a positive country mix. In the Systems segment, the profitability declined this quarter compared to last year, and this was mainly driven by the revenue decrease and profitability decrease in Grodan. Unfortunately, we in the short term do not expect the situation in Grodan to improve meaningful.

Last or the next last our investment activities on slide 8. As you can see, our total acquisitions volumes was €93 million in Q1. That is €9 million more than last year's quarter. And our main investments are relating to capacity buildups, our new factory in Romania, electrification of our two large lines in the Netherlands, and then our large factory project in the United States of America.

Cash flow for the quarter was – free cash flow was minus €47 million. However, our net cash position landed at €231 million. And that's of course very positive super solid cash position for the group.

So much for the quarter. A few comments to our outlook. As you've seen, we maintain the outlook for the year. We have now of course put away one quarter. But when we balance the satisfactory quarter one that we have had against the macroeconomic uncertainty we see, we maintain our full year outlook for a low single-digit revenue growth on the top line. Again, also earnings levels for Q1 was solid and we of course always – as always stay very alert and monitor our activities across our organization. We adjust the capacities and activities locally as needed. And based on this, we maintain our outlook of an EBIT margin around 16%. And last but not least, our

investment projects are on track and we maintain the investment level for a level of €450 million for the full year. These were the initial comments to our first quarter.

Operator: Would you like to begin the question-and-answer session?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

And now we go to the Q&A.

QUESTION AND ANSWER SECTION

Operator: Thank you very much. We will now begin the question-and-answer session. [Operator Instructions] The first question comes from Brijesh Siya of HSBC.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Hi. Good morning, guys. I have two questions. So, on – the first one is on the guidance. So, on this Q1 [indiscernible] (00:08:58) clear in line with what you expected the Q1 margins and in line with your expectations.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Brijesh, you are breaking – Brijesh, you're breaking up quite a lot. I don't know if you can do anything about your mic.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Okay. Is it clear now?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Yeah.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

So, news on Reuters says that...

[indiscernible] (00:09:16) raising prices in the US. [indiscernible] (00:09:21)

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Is it clear now?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

No, no. There's a second voice coming in over you.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. It's clear. Hopeful, this is clear now.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Much better.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Sorry. So, the first one is on the full year guidance. So, obviously Q1 you landed bang in line with the expectation at the EBITDA margin level, but when you were moving to the second half of the year, especially Q2, I think you can comment a little more. But given that vertical seasonality, you should expect the margin to improve as the year progresses. And then if you can give a little more flavor about how you think the margin progression is going to happen and the Russia dilution which you talked beginning of the year, whether that's in line or anything incremental you expect to come rest of the year. So, that's my first one. I'll come to the second one later.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

There is some seasonality in our business, although not a lot. And I – simply when we balance it out about the uncertainty that we see in the market, then we think it's a reasonable outlook to call it 16% on EBIT.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay, fair enough. And the second one is on Systems division. I guess a couple of quarters that we were talking about you are making some kind of plan in the business to improve the profitability of the Systems division. I guess Grodan is probably the underlying market weakness, but anything that you – that's under your control you're trying to do to help improve the performance of Systems?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yes. We have put together some plans, a catalog of improvements for the Systems divisions. As you know, it's five different businesses, so it's quite different things that needs to be done in – ranging from supply chain and production to price positioning and product rationalizations. But yes we're working on that. And then yes, each of them also are affected by different market factors, whereas just as an example, the Rockfon business is very influenced by office renovations in Europe and the horticulture business by completely different parameters. So, it's a very diverse portfolio.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Fair enough. Okay. I'll step back. Thank you. Thank you.

Operator: The next question is from Alexander Craeymeersch of Kepler Cheuvreux.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Hey, good morning. Alexander from Kepler Cheuvreux here. So, first off, of course, congratulation to Jes Munk and Kim Junge and the ROCKWOOL team on a nice set of results. It's quite impressive, especially starting with – we're starting from a high base of Q1 than last year. So, two questions from my side. It's nice to see that you continue to support the Ukrainian reconstruction initiative, but do you plan to continue this support for the remainder of the war? And the second question would be that I've noticed that several plants are now undergoing maintenance, and that's actually several big plants. So, could you give us some granularity on how much capacity has been taken out of the market? And, of course, maybe a hint towards how much capacity or organic initiatives that you're undergoing right now, how much planned additional capacity do you have in the next year or two? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

To the first one, I can confirm that at the AGM, the shareholders voted for donating another DKK 100 million to the Ukrainian foundation. Whether or not they do that again next year, that's up to the shareholders at the AGM. Your question to capacity, it's a little bit harder to answer because we don't have insight into all our competitors' capacity. And it's not only about stone wool capacity, it's of course also about capacity in the adjacencies or competing products such as glass wool. So, I don't have an exact number. So...

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

And on [ph] ROCKWOOL (00:13:45) specifically maybe?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Yeah, Kim here. Here, as you know, Alexander, we are adding capacity in three different sites currently. One of them is in India where we will come online in mid next year, and then we're adding also in Romania, the second factory line that will come online early 2027, and then the bigger factory in western part of US will also come online late 2027, early 2028. So, that's the capacity that we are adding right now. And then of course we have some options that we are considering. But for the time being, that's what the plans are for us.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Okay. Thank you, thank you.

Operator: The next question is from Zaim Beekawa of JPMorgan.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Good morning. Thanks for taking my questions. The first one is just on France. Can you sort of maybe comment on the magnitude of that pricing pressure you're seeing and what's really driving that? And then secondly, obviously strong performance in North America. How much of that is to do with some pull-forward in demand?

And if we look into Q2, how do you see the trends evolving in this market given you've got July price increases, so maybe some further pull-forward, but that's against some tougher comps given the strikes in 2023? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. Let me start with the US and just riding on [indiscernible] (00:15:13), it is not a pull-forward we see in the US due to – I assume you mean that there should be a pull-forward because of announced price increases in the summer. But that's not what we see. It's not a pull-forward that drives our demand. We have quite a healthy pipeline in the US. As you know we have very low market shares and we're gaining market shares in the US. We have a very healthy pipeline. When I mentioned a little bit of softness in the US market, it is simply that we can see some of the big contractors delaying projects into the next few quarters. But again I mean with the growth that we have in market share and the pipeline strength, we foresee that we will stay at the – on the growth level that we are delivering already today.

France, it's mainly in the professional segments, I would say that we see the price pressure and it's very nuanced. Let me try to explain, when I say professional segments, it's mainly the flat roof business and the sandwich panels business. So, this is really products that go into distribution centers, data centers, and renovation of commercial and industrial buildings. And it is very nuanced project from project. So, more a tactical movement around of winning the right projects, the ones that fit us the best. And overall it's approximately a 1 percentage point in price that we're encountering there, but that's an average. So, it's more you have to really look at it by project by project.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Q

Great. Thank you.

Operator: The next question comes from Yassine Touahri of On Field Investment Research.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Yeah. Just a follow-up question on your strong performance and market share gain in North America. You mentioned that you're delivering 15% sales growth [indiscernible] (00:17:32) and glass wool is only delivering 1% growth. What is driving this market share gain? Is it the fire safety property of stone wool? Is there something – like it would be great if you could walk us through the – what marketing strategy you think is successful and whether you think it's sustainable in the coming years this impressive outperformance.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I think it's paramount to understand that our market share in the US is very low. We are today around 2%, 3% of the insulation market. When I compare that to a market like Canada where we have above 10% market share, then there's no reason why you could say from a structural perspective why we shouldn't have a much higher market share in the US as buildings are built more or less the same in Canada and in the US. And so what we're driving here is really market share gain, as I said too before.

And then to your questions, it's really – we're really playing on a row of dimensions. It is new customers, it is new channels, and it is of course also offering new products into the US market. Most notable, of course, what we are

known for are the fire-resistant insulation, which is something that is getting more and more recognized as an important factor. So, it is really a channel customer and product play that we are executing here.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And the second question is that when we look at the beginning of April and May, do you see the same kind of trends that you've seen in the first quarter around your portfolio?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, but I don't...

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

[indiscernible] (00:19:20) all the sort of political uncertainties.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I don't have any numbers for Q2, of course, now. But there's no significant change in the dynamics. But we do see that some big construction companies also in the US, as I said, are holding back. When I talk to US customers and I've just been there recently, they report of very strong pipelines, many projects that they are quoting, but a hesitation to execute the [ph] P&Os (00:20:01). But again our numbers are very high compared to the rest of the market and it is simply because we are expanding into new customers, new channels, and gaining market share.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And the last question which is a bit more long-term, but if I look at the situation in the European stone wool industry, I think you will have – you still have a few single-plant owner of stone wool. And I think those companies will have to switch at some point from a cupola to an electric melter. And I guess it's probably going to be difficult if you've got only one plant. You have to be out of the market for six months or a year. Do you think that these difficulties could drive some consolidation in the stone wool market where some of the small plants might decide to sell?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I think it's a fair statement to say that it's difficult to be in this industry if you have a very small footprint for a row of factors, scale, access to technology, and then one of the ones you mentioned is, yes, the conversion from fossil melting technologies into electric. There's not a lot of factory capacity that are singles or even say small footprints, but there has been an ongoing consolidation. Whether or not that will accelerate in the next few years, I don't know yet. But I think your overall observation is correct.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And do we have any update on the plant in Poland that was being sold by the government?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

No, there's no real development in that. What you're referring to is, yeah, that the Polish government is trying to sell an asset in – they withhold in Poland, but there's no real news there.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Okay. Thank you very much.

Operator: The next question is from Claus Almer of Nordea.

Claus Almer

Analyst, Nordea Bank Abp

Q

Thank you. Also a few questions from my side. If we go back to the US, I think you had mentioned a bit about growing into new parts of the various channels. But just be sure, so the strong growth in Q1, was that mainly driven by the share of wallet going up in the existing customers or are you actually adding new customers in new regions of the US? That would be the first one.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

It's a little bit of both. We have actually for a long period been on an allocation program where we simply don't have enough capacity to serve the market. So, we've been on an allocation program. So, our existing customers, also the ones I met with recently, still have an unfulfilled demand, but we continue developing not only the existing channels but also new ones, yeah. I could mention one – they're called affiliated distributors, which is a very large buying group of the independent distributors with thousands of outlets. And they expressed great interest in our products and not only the insulation but also some of our other products. So, the US is truly a market for us for the long run that can be developed and should be developed much more. And that's, of course, also why we invest in significant capacity now in the state of Washington.

Claus Almer

Analyst, Nordea Bank Abp

Q

Yes. And so that might be the follow-up question as I guess last year you talked about being more or less sold out, at least in the high season. And the Q2 last year was pretty strong as I recall. How – can you really grow volumes in Q2? And then you have maybe some imports from Canada and Europe, but then you have tariffs. So, how do you see the whole volume trend moving forward in this year for the US?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

You spotted that right. It is a very difficult comparison. We had a very high – also for some shifting around of volumes last year that were released, a very high level of volume moving last quarter. So, that will be hard to beat. But of course we are constantly working with our portfolio, moving volumes into the areas that we think are most valuable. We work with our pricing and then of course also with the existing footprint to optimize the output of the existing production lines and there's always some things you can do there.

Claus Almer

Analyst, Nordea Bank Abp

Q

Sure. Okay. And then just my final question goes to this more intensified price competition in the sub segments where you're up against the foam-based products. To what extent does this really impact group level, group performance? Should we be concerned about this?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

It does not as such influence our group performance. It is more a tactical ongoing discussion about price points vis-à-vis the main competing products, not just the foam-based products but also for instance glass. And it varies a lot from market to market what is appreciated by the customers but also what price points we can command. So, it is more on a tactical level that we monitor – that we adjust, but on a total aggregated level, it doesn't have a significant impact.

Claus Almer

Analyst, Nordea Bank Abp

Q

That makes a lot of sense. So, thank you so much and congratulation with the solid start for the year.

Operator: The next question is from Marcus Cole of UBS.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Hi, good morning. So, the first question is just on what pricing developments have been made in Q2 so far. And the second one is, what do you think a realistic outcome for cost base inflation for the full year is, factoring in your current energy hedges? Thanks.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah. We started off with having some of our businesses implementing price increases from April 1. So, we just sort of continue sort of the trend with the pricing drumbeat of 1% to 3% and in more and more markets. So, and I think the next bigger one is the one in North America from July 1 as we had talked about before. And that is going to be around 8%.

And on the input cost, Marcus, I think we have said we're covering both electricity and gas. And for the remaining part of the year, we have covered about 70% in average. Foundry coke, which is still our biggest input cost, we can only take a quarter at a time and I see a very small decline in Q2, like a percentage points decline compared to Q1. That's it.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Okay. Thank you very much.

Operator: The next question is from Pujarini Ghosh of Bernstein.

Pujarini Ghosh

Analyst, Bernstein Autonomous LLP

Q

Hi. My question is on your local currency growth of 4% that you achieved in Q1, and of that we know 2% is from acquisition. So, could you give us a split between the volume and price for the remaining 2%? I'm assuming it's largely volume because the pricing you're increasing in April and July as you just mentioned.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Well, it is of the organic growth, it is almost all volume. It is a small price effect from last year at this point in time.

Pujarini Ghosh

Analyst, Bernstein Autonomous LLP

Q

Okay. Thank you.

Operator: The last question is a follow-up from Brijesh Siya of HSBC.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Hi. Thank you again. Just on the fire safety and the regulations around Europe, have you seen any marked development in any of the countries, any movement in those regulations? And what do you hear from the European Commission in terms of kind of moving ahead these overall European regulations?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, but let me start by saying that I sit in my best [ph] suite (00:28:49) right now because I'm jumping in on a plane in half an hour, going to Brussels to meet with [ph] Dan Jørgensen (00:28:57) and a row of Parliament members to discuss the subject. So, it's something we spend quite a lot of our time on. We – and yeah, it's a little bit longer answer, but we have the last 6 months to 12 months really scaled up on our public affairs – public affairs capabilities and had a lot of dialogues with the individual countries. Because the trick here is that one thing is what Brussels has dictated, you can say in the new directive, but where the real test is – is of course country by country implementation of these new directives. So, we work very much on a country by country level with our local teams. We monitor that, we influence that, and we see some very meaningful programs running in countries like Romania, Poland. And yeah, Germany also with their new packages has – and France, by the way also, quite some ambitious goals for what they want to achieve in the next few years. And as you know also [ph] funding (00:30:09) is starting being established. So, I think into the next six months we can also hear going forward share in the next few meetings how we see these individual because that's really where you have to look at it, individual markets developing and catering for this new European performance directive on buildings.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Great. And the second one on the sandwich panel acquisition which you've made towards the end of last year. How has been the progress and do you see any further opportunities in that to kind of expand the product portfolio across the broader group?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Just a small correction. It's not a sandwich panel business. It is a wall systems or so-called ETICS system, which is an external insulation system that we made in the UK. It's been a quite successful acquisition. I mean it's still early days for an acquisition but they're performing very well. And one of the things we did do was convert this business fully into a stone wool based offering, which resonates very well with our UK customer base. So, that has been a really good addition to our portfolio.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Great. Thank you very much. Good luck.

Operator: Gentlemen, we do have a final question from Axel Stasse of MS.

Axel Stasse

Analyst, Morgan Stanley & Co. International Plc

Q

Yeah. Good morning, everyone. Thanks for taking my question. Just a follow up on the organic growth guidance, you mentioned some pricing hikes that we do, high single-digit pricing in July in North America, but you stick to your low single-digit organic growth guidance for 2025. So, I would assume this then imply volumes going down for the remaining of the year while you're actually ramping up assets. So, is there anything I'm missing here or is it you guys that are just being conservative given the limited visibility on the volumes going forward? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

No, you're not missing anything. We don't expect a large volume growth. There is a slowdown everywhere and a hesitation. And then as we also posted and wrote, we do see a slowdown, particularly in East Europe and in one of the markets there, Russia, and that does affect our totality numbers. So, I wouldn't call it conservative. I think that is very much the picture that we see now.

Axel Stasse

Analyst, Morgan Stanley & Co. International Plc

Q

Okay. Thank you very much.

Operator: That was the final question. I'd like to hand it back over to you gentlemen for any closing remarks.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Thank you very much. Jes and I thank you for today's earnings call. And we would like to thank you for all your questions and the audience for listening to today's call. We appreciate your interest in ROCKWOOL. If you have further questions, as always feel free to reach out to me and you can find the details on our Investors section in our corporate website. Have a fantastic day. Thank you.

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